prevents individuals from exploiting the system, while giving collective relief when the area is hit. Similarly, we have advocated that student loans be structured with an optional moratorium period, so that a borrower can survive periods of unemployment without being permanently labelled a defaulter. Going forward, we should accept the possibility of individuals, including farmers, declaring bankruptcy and being relieved of their debts, provided this remedy is used sparingly, and the individual chooses bankruptcy as a last choice, knowing he will lose assets and be excluded from borrowing for a period.

SKILLING AND SUPPORT

There is a widely perpetuated myth that access to financial services is all that is necessary to set a poor farm worker on her way to riches. This is simply not true. Clearly, access to institutional credit can help her pay back a moneylender, and thus give her some relief. Access to a bank account can allow her to put aside some savings, which protects them from the demands of needy relatives. But to generate income in a sustainable way, she needs help – in acquiring the skills necessary to raise chicken or cows or grow flowers, in marketing that product, and in learning how to manage funds. Often, credit offered without such support simply drives her further into debt.

Sometimes, people learn from neighbours as clusters start undertaking an activity. Sometimes people already know a marketable skill and only lack credit to buy the necessary raw material to produce or expand. More commonly, however, those who want to encourage micro-entrepreneurship have to work on a variety of supporting actions other than just credit, especially skilling. Fortunately, in India we have a flourishing NGO movement that often works with the government to provide the necessary support – as in the Jivika rural livelihoods programme in Bihar. Increasingly, some banks have adopted a holistic approach to support as they encourage micro-